

Comcast Corporation

CMCSA | October 4, 2026

HOLD

Fair value (12-mo horizon reference)	\$21.00
Current price (October 2, 2026 close)	\$21.57
Implied upside / downside	-3%
Verdict	HOLD

Investment Thesis

Comcast spent a decade being valued as a melting ice cube attached to a good business. On January 2, 2026, it finally separated the two: the Versant Media Group spin-off -- most of NBCUniversal's cable networks including CNBC, USA Network, E!, Syfy, and Golf Channel, distributed 1-for-25 to shareholders -- leaves Comcast as a connectivity company (broadband, wireless, business services) plus NBC, Telemundo, Peacock, the Universal studios, the theme parks, and Sky. The surgery was correct; it does not cure the patient.

Our judgment: the remaining business is a cash machine with a shrinking core. Broadband -- the profit engine -- continues to lose subscribers to fiber overbuilders and fixed wireless, even as ARPU growth offsets some of the decline; video is in structural retreat; wireless is growing but low-margin. What Comcast undeniably has is cash: a forward P/E of 8-9x and a free-cash-flow yield above 10% on a connectivity franchise still generating on the order of \$70 billion of annual revenue across 65 million homes and businesses. The dividend and buyback are well covered, Peacock's losses are narrowing, and the parks are a genuine growth asset.

At \$21.57 the stock is priced as a no-growth cash cow, and that is roughly what it is. Multiple expansion requires broadband subscriber stabilization -- evidence that the connectivity business can grow again, not just harvest ARPU -- and we do not see that evidence yet. Our \$21.00 fair value implies modest downside from here: this is a HOLD for income-oriented holders, not a compounding story. The bull case needs the broadband base to stabilize and wireless bundling to demonstrate real churn benefits; until then, the market's skepticism is rational.

Business Overview

Post-Versant, Comcast Corporation -- headquartered in Philadelphia -- is two things. Connectivity and Platforms: Xfinity residential and commercial broadband, video distribution, a growing wireless business built on an MVNO agreement, and business services -- the cash engine, reaching roughly 65 million homes and businesses. And Content and Experiences: the NBC broadcast network, Telemundo, the Bravo cable brand, Peacock streaming, Universal Pictures and Universal Television, Universal Destinations and Experiences (theme parks), and Sky in Europe.

The Versant separation, completed January 2, 2026 as a tax-free distribution, removed the declining linear-network bundle -- USA, CNBC, the network now known as MS NOW, Oxygen, E!, Syfy, Golf Channel, plus digital assets including Fandango and Rotten Tomatoes -- along with about \$3 billion of associated indebtedness, for which Comcast received a \$2.25 billion cash distribution. Comcast retains no equity interest in Versant.

Forward Outlook

The central operating question is the broadband subscriber line. Management's playbook -- ARPU growth through speed-tier upgrades and bundling, plus wireless attach to reduce churn -- can sustain cash flow for years even with modest subscriber losses, but the equity multiple will not expand while the base shrinks. We model continued low-single-digit subscriber declines with ARPU growth roughly offsetting, leaving connectivity revenue flat to slightly down -- a harvest profile, honestly described.

Peacock is the swing asset on the content side: losses narrowing, scale approaching the point where the streaming business can stand on its own economics, though we assign it modest terminal value given the competitive intensity of streaming. The parks business -- Epic Universe now in its second full year -- is the clearest organic growth driver in the portfolio, and Sky's turnaround, while slow, removes a drag.

Capital allocation is the shareholder proposition: with double-digit free-cash-flow yields, the combination of dividend growth and buybacks should deliver high-single-digit cash returns even without multiple expansion. That is an attractive holding proposition at the right price; at \$21.57, with our fair value at \$21.00, the price is roughly right already.

There is a subtler bull case worth naming even though we do not underwrite it: the market may be underestimating how long a harvest profile can run. Cable broadband's high incremental margins mean that even flat revenue with disciplined capital spending throws off enormous cash for a very long time, and Comcast's scale advantages in network operations are real. If subscriber losses merely stabilize at a slower rate of decline -- not reverse, just decelerate -- the combination of a 10%+ FCF yield and buybacks compounds equity value faster than the current 8-9x P/E implies. We keep this as upside optionality rather than base case because hope is not a thesis, but it is the reason this name stays on the watchlist rather than in the discard pile.

Valuation

We value Comcast on a probability-weighted scenario DCF at a 9% base discount rate, the stable-franchise rate -- the connectivity installed base and subscription economics justify it despite the subscriber declines. The base case assumes connectivity revenue flat to slightly down with ARPU offsetting subscriber losses, Peacock losses narrowing toward breakeven, parks growing, and free cash flow sustained at levels supporting the dividend and buyback. The bear case assumes accelerating broadband share loss to fiber and fixed wireless with ARPU growth faltering -- a genuinely adverse outcome sitting below the current \$21.57 price. The bull case assumes subscriber stabilization and wireless bundling proving out, with modest multiple expansion. Terminal growth is capped at 2.5% on normalized margins, and the 25% / 50% / 25% weighted fair value equals our \$21.00 target -- modestly below the current price, consistent with a HOLD rather than a BUY.

Key Risks

- Broadband subscriber losses: fiber overbuild and fixed wireless continue to take share; ARPU offsets have limits.
- Video cord-cutting: structural decline in the remaining video business pressures revenue and margins.
- Wireless margin profile: growth in a low-margin MVNO business dilutes the connectivity margin mix.
- Peacock: streaming losses, while narrowing, still consume capital in a brutally competitive market.
- Sky: European operations face macro and competitive pressures.
- Capital intensity: network investment requirements compete with shareholder returns for free cash flow.

What Would Change Our Mind

- Two consecutive quarters of broadband subscriber stabilization or growth -- the single development that would unlock multiple expansion.
- Evidence that wireless bundling materially reduces churn and improves lifetime value.
- Peacock reaching sustained profitability ahead of expectations.
- Conversely, accelerating subscriber losses combined with ARPU growth stalling would move us toward REDUCE.
- A large debt-funded acquisition or a dividend cut would force an immediate reassessment.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon -- 10 years for most businesses -- weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.